

INSTITUTIONAL EQUITY RESEARCH · SENIOR FINANCIAL ANALYST

Taiwan Semiconductor Manufacturing Co.

NYSE: TSM (ADR) · TWSE: 2330 · Fundamental Analysis Update
· 26 September 2026

RATING

BUY

MAINTAINED

12-MONTH ADR TARGET

\$545

~21% upside from \$450.61 reference close · raised from \$530

Prepared for: Cam, CIO / Portfolio Manager · **Position:** 24 shares (~\$10,815; 0.64% of portfolio)

Basis: USD, NYSE American Depositary Receipts (1 ADR = 5 ordinary shares) · **Reference price:** \$450.61, 25 Sep 2026 close (live dashboard quote)

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Figure labels: **R** company-reported **C** analyst-calculated from reported figures **E** consensus/broker/industry estimate (secondary) **O** analyst opinion/judgment. All figures in USD unless noted; NT\$ figures converted at stated rates. Sources are consolidated in Appendix A — no inline citations.

1. Executive Summary & Investment Thesis

This report updates the 22 September 2026 initiation. Four days later the thesis is intact and the numbers have, if anything, firmed: August revenue printed a record NT\$514.81B (+53.3% y/y) **R**, Q3 is tracking with room to spare against guidance, and sell-side FY2027 estimates have drifted up (Erste to \$21.91; MarketBeat \$21.72) **E**.

TSMC remains the world's dominant pure-play semiconductor foundry — a **72.5% global foundry revenue share** in Q2 2026 (TrendForce) **E** — and the toll road on AI compute: 77% of wafer revenue from 7nm-and-below nodes, high-performance computing at 66% of sales and growing 20% quarter-on-quarter, and 2nm in commercial production with a steep H2 ramp **R**.

Thesis **O**: The foundry moat is widening, not narrowing. Samsung's share has roughly halved since early 2023 while TSMC's hit a record; 2nm pricing power is demonstrable (67.7% gross margin while funding a \$60–64B capex year internally); and the demand signal — ~\$730B of 2026 hyperscaler capex, raised three times this year by Alphabet alone — remains the strongest external validation of the capacity build. The record Q2 print was flattered ~9% by a one-off Vanguard share gain, and the H2 margin path is genuinely tougher (3–4pp of N2 ramp dilution plus 2–3pp of overseas-fab dilution, both company-guided) **R**. But at 27.2× FY2026E compressing to ~20.7× FY2027E on ~30% forward EPS growth, the stock is priced for execution, not perfection.

The \$50B question [O](#) : the "slightly more than 40%" full-year revenue guide implies $\geq \$171.4B$ [C](#) — which needs roughly **\$50B in Q4** after H1's \$76.1B and the Q3 guide midpoint of \$45.2B [C](#). That is ~11% above Q3's guide and well above the \$167.1B sell-side consensus [E](#). August already printed at the required monthly run-rate (~\$16.1B), so the guide is achievable — but it leaves no room for a soft Q4. Estimate revisions into the October 15 print are the near-term tell.

Bottom line: Maintain **BUY**; raise the 12-month ADR target to **\$545** (~21% upside from \$450.61), anchored on the same **25× FY2027E consensus EPS of ~\$21.8** framework as the prior report [C](#) / [E](#). The \$15 target raise is purely estimate-driven (consensus FY2027E moved \$21.20 → ~\$21.8); the multiple framework is unchanged. At \$450.61 the stock sits **below the \$460 add line** — the standing accumulation thesis is actionable here.

Portfolio note: Cam holds 24 shares (~\$10,815, 0.64% of the ~\$1.70M portfolio). Morningstar rates TSM 4 stars with a \$534 fair value (Sept 2026 export) — our \$545 target sits modestly above both Morningstar and the \$523 sell-side average, reflecting the 2nm pricing-power premium.

2. Business Overview & Revenue Mix

Founded in 1987, TSMC pioneered the pure-play foundry model: it manufactures chips designed by others and competes with no customer's products — the "trust model" underpinning its ecosystem lock-in [R](#). In 2025 it deployed 305 distinct process technologies and manufactured 12,682 products for 534 customers [R](#).

Q2 2026 revenue mix (company-reported)

By technology node	% of wafer revenue	By platform	% of net revenue
2nm (first commercial quarter)	3%	High-Performance Computing	66% (+20% q/q)
3nm	30%	Smartphone	22% (−4% q/q)
5nm	33%	IoT	5% (+4%)
7nm	11%	Automotive	4% (+15%)
16/20nm and older	23%	DCE / Other	3%

Advanced nodes ($\leq 7nm$): 77% of wafer revenue [R](#). By geography: North America 78% · Asia Pacific 8% · China 6% · Japan 4% · EMEA 4% [R](#).

TSMC does not disclose customer-level revenue splits. Apple, NVIDIA, AMD, Broadcom and Qualcomm were identified by TSMC as major US customers in its March 2025 Arizona investment announcement [R](#) — finer revenue attribution (e.g., NVIDIA ~22%) is industry estimation and should be treated as unverified [E](#). The smartphone cycle read-through for 2026 is Apple's September 2026 launch (iPhone 18 Pro and foldable iPhone), with the A20 Pro expected on TSMC 2nm — a direct N2 demand driver [E](#).

3. Financial Performance

Quarterly results [R](#) (NT\$ billions unless noted)

	Q2 2025	Q1 2026	Q2 2026	Q2 y/y
Revenue (NT\$B)	933.79	1,134.10	1,270.38	+36.0%
Revenue (US\$B)	30.07	35.90	40.20	+33.7%
Gross margin	58.6%	66.2%	67.7%	+9.1 pp
Operating margin	49.6%	58.1%	60.3%	+10.7 pp
Net income (NT\$B)	398.27	572.48	706.56	+77.4%
Net margin	42.7%	50.5%	55.6%	+12.9 pp
Diluted EPS (NT\$/share)	15.36	22.08	27.25	+77.4%
Diluted EPS (US\$/ADR)	2.47	3.49	4.31	—
Operating cash flow (NT\$B)	497.07	698.97	783.36	—
Capex (NT\$B / US\$B)	297.22 / 9.6	350.76 / 11.10	496.00 / 15.70	—
Company-defined FCF (NT\$B)	199.85	348.21	287.36	—

Quality-of-earnings notes: (1) Q2 2026 included **NT\$63.2B of disposal/mark-to-market gains on Vanguard International Semiconductor shares** — ~9% of net income was non-recurring [R](#) / [C](#). Ex-VIS, net margin was ~50.6% and implied ADR EPS ~\$3.92 [C](#). (2) The effective tax rate rose to 18.1% (from 16.8% in Q1) on tax for undistributed retained earnings [R](#). (3) Gross-margin expansion was "primarily due to cost improvement efforts and higher capacity utilization, *partially offset by margin dilution from overseas fabs*" — the company explicitly flags overseas-fab dilution [R](#). (4) Days of inventory rose to 87 (+7 q/q), "primarily due to N2 ramp" — working-capital build ahead of 2nm volume; monitor [R](#) / [O](#).

High-frequency tracker: monthly revenue R

	Revenue (NT\$B)	m/m	y/y
July 2026	467.58	+5.6%	+44.7%
August 2026	514.81	+10.1%	+53.3%
Jan–Aug 2026 cumulative	3,386.87	—	+39.3%

August was the first NT\$500B+ month on record R. July + August = NT\$982.39B C — see Section 4 for the Q3 tracking math.

Trailing twelve months to 30 June 2026 C

Metric	TTM value
Revenue	NT\$4,440.5B ≈ US\$142.9B
Gross profit / margin	NT\$2,852.4B / 64.2%
Operating income / margin	NT\$2,490.1B / 56.1%
Net income / margin	NT\$2,238.7B (≈US\$72B) / 50.4%
Diluted EPS	NT\$86.28/share ≈ US\$13.86/ADR
EBITDA (op. income + D&A)	NT\$3,179.0B ≈ US\$100.6B
Operating cash flow	NT\$2,634.7B
Capex	NT\$1,491.1B (≈US\$47.2B; 33.6% of sales)
Free cash flow	NT\$1,143.6B (≈US\$36.2B; 25.8% margin)

Computed as FY2025 + H1 2026 – H1 2025 from company filings. Cross-check: sum of company-reported quarterly FCF (Q3 2025 139.38 + Q4 2025 368.60 + Q1 2026 348.21 + Q2 2026 287.36) = NT\$1,143.55B ✓. TTM US\$13.86/ADR EPS corroborated by published secondary TTM EPS of \$13.86.

4. Guidance & Outlook

- **Q3 2026** R (July 16): revenue **US\$44.6–45.8B**; gross margin 65–67%; operating margin 56–58%; based on NT\$32.0/US\$. Management cites "continued strong demand for our leading-edge process technologies, including the steep ramp-up of our 2-nanometer technology." No reiteration or revision since — the quiet period begins October 5.
- **Q3 tracking** C: July + August = **NT\$982.39B**. Against guidance of NT\$1,427.2–1,465.6B (at NT\$32), September must print **NT\$444.8–483.2B** (midpoint NT\$464.0B) — essentially flat vs July and ~10% below August's record. Tracking with room to spare O.

- **FY2026 revenue:** "slightly more than 40%" growth in USD terms (raised from "more than 30%") **R** → implies **≥US\$171.4B** **C** (vs US\$122.42B in 2025).
- **FY2026 capex:** **US\$60–64B** (raised from US\$52–56B) **R**; ~70–80% to advanced processes, ~10% specialty, 10–20% advanced packaging/testing/mask. H1 2026 capex was US\$26.80B **R** → H2 run-rate roughly US\$33–37B **C**.
- **Margin headwinds (company-guided)** **R**: N2 ramp dilutes gross margin by **3–4pp in H2 2026**; overseas fabs dilute by **2–3pp in early stages, widening to 3–4pp** in later stages. N3 gross margin is expected to reach the corporate average in H2 2026, a partial offset.

Consensus tension **O**: sell-side FY2026 revenue consensus is US\$167.1B (+36.5%) **E** — *below* the ~US\$171.4B implied by the guide. H1 (\$76.1B) plus the Q3 guide midpoint (\$45.2B) leaves ~\$50B needed in Q4 **C**. Either consensus has not caught up, or the guide embeds a very strong Q4. August's monthly run-rate (~\$16.1B) already matches what Q4 needs on average — so the guide is credible, but it demands the N2 ramp and AI demand stay hot through year-end. Watch estimate revisions into the print.

5. Balance Sheet, Cash Flow & Capital Allocation

Position at 30 June 2026 **R** (Q2 2026 management report): cash & marketable securities NT\$3,518.01B (~US\$110B per CFO); ending cash NT\$3,134.22B; interest-bearing debt NT\$1,031.68B → **net cash reserves NT\$2,486.33B** (~US\$78.7B). Current ratio 2.5×; equity 69.1% of assets. H1 operating cash flow covered PPE payments 1.75× **C**; H1 FCF ≈ NT\$635.6B (~US\$20.1B) **C**.

- **Capex** is the single largest use of cash: FY2026 guide US\$60–64B **R**; TTM capex was 33.6% of sales **C**. The balance sheet funds the build internally — no equity needed.
- **Dividend** **R**: the Q1 2026 dividend of NT\$7.00000137/common share went ex-div **September 16** (~\$1.10745/ADR) and is **payable October 8, 2026**. The next ADR dividend is ex-div **December 10, 2026** (\$1.08544), payable January 7, 2027. Trailing-four ADR payouts total \$3.7811 → **0.84% yield** at \$450.61 **C**. Management reiterates "a sustainable and steadily increased cash dividend per share."
- **Buybacks:** no open-market buyback program found in the last twelve months of company disclosures — balance-sheet strength is retained for the capex cycle. Treat as unverified-negative; do not assert none exists **O**.
- **Other:** sold 8.1% of Vanguard International Semiconductor (May 15, 2026) **R**; board approved up to NT\$60B domestic bond issuance and a US\$10B capital injection into TSMC Global **R**.

6. Technology & Manufacturing Footprint

- **2nm (N2):** first revenue in Q2 2026 — 3% of wafer revenue **R**. Management calls the N2 family "another large and long-lasting process node," with N2P and A16 enhancements to follow; "steep ramp-up" expected in H2 2026 **R**. End-2026 capacity is industry-estimated at ~90–130k wafers/month

(conflicting estimates — treat as rough) [E](#). Demand confirmation: Qualcomm's Snapdragon 8 Elite Gen 6 (unveiled Sept 22) is the first mass-market 2nm mobile chip [E](#).

- **A16 (1.6nm-class):** TSMC's first backside-power (Super Power Rail) node; company guidance is production-ready in H2 2026 [R](#); Taiwanese media now point to **mass production in Q4 2026**, meaningful volume in 2027 [E](#). Disclosed gains: +8–10% speed or –15–20% power vs N2P [R](#). NVIDIA is reported to have booked A16 capacity for next-gen AI GPUs (single source) [E](#).
- **A14 (1.4nm-class):** customer tape-outs are **ahead of schedule** (reported Sept 23) [E](#); +10–15% performance or –25–30% power vs N2; pre-production 2027, volume production **2028**. A13 debuted at the April 2026 North America Technology Symposium [R](#).
- **Arizona:** Fab 1 in volume production (4nm) since Q4 2024 [R](#); Fab 2 tool move-in through 2026 with volume production pulled forward to H2 2027 (3nm); Fab 3 (N2/A16) under construction; first on-site advanced-packaging line being readied [E](#). Total US investment framework now **~US\$265B** after the additional US\$100B announced alongside Q2 results [R](#). CFO (July 2026): "very happy with the progress in Arizona."
- **Japan (JASM Kumamoto):** Fab 1 in volume production since end-2024 [R](#); Fab 2 construction started Oct 2025, reportedly upgraded toward 3nm with a 2028 production target [E](#).
- **Germany (ESMC Dresden):** 28/22nm planar + 16/12nm FinFET; 40,000 300mm wafers/month; equipment move-in H2 2026, production targeted late 2027 [E](#).
- **Advanced packaging (CoWoS):** industry estimates put current capacity at ~75–80k wafers/month rising to ~120–130k by end-2026 (single source — rough) [E](#); advanced packaging is estimated at slightly over 10% of revenue heading to low-teens in 2026 [E](#). TSMC broke ground on a Kaohsiung packaging-validation park (Sept 21, 2026), operations targeted Q4 2029 [E](#). The 10–20% of 2026 capex allocated to advanced packaging/testing/mask confirms its strategic weight [R](#).
- **Ecosystem:** Cadence expanded its TSMC partnership (Sept 24) — A14/N3P/N2P design-tool certification and 3DFabric IP — a leading indicator of customer design-in at the next nodes [E](#).

7. Competitive Position

Foundry market share (TrendForce, Q2 2026) [E](#): TSMC **72.5%** (record) · Samsung 5.9% · SMIC 5.4% · UMC 3.9% · GlobalFoundries 3.2%. Top-10 combined revenue US\$53.49B, +11.5% q/q (record). Samsung's share has roughly halved since Q1 2023 (12.4% → 5.9%); SMIC is closing on second place.

Moat sources [O](#): (1) process-technology lead — the only foundry shipping 2nm at scale, with A16 and A14 roadmapped; (2) scale/cost — 4.3M+ wafers/quarter amortize R&D (NT\$73.1B in Q2 alone [R](#)) and the capex base; (3) ecosystem lock-in — 534 customers, 12,682 products, 305 process technologies [R](#); (4) the trust model — a pure-play foundry with no competing chip products. At 72.5% share, TSMC's quarterly foundry revenue exceeds Samsung Foundry's by more than 12× — the market is effectively a monopoly at the leading edge.

Competitive watch — Samsung's 2nm is stirring [E](#) / [O](#) : Samsung's SF2 yields are reported (leaks) to have recovered from ~50% in late 2025 to ~60%+ in Q1 2026 and possibly ~80% by early September. Tesla's AI5 began prototype production at Samsung's Taylor, TX fab on **September 15, 2026** (mass-production verification targeted end-2026; \$16.5B deal through 2033), and **OpenAI added Samsung Foundry to its silicon program (Sept 10)** as a TSMC second source. Tesla also dual-fabs at TSMC Arizona. None of this has moved TrendForce share data — but it is the first credible leading-edge share threat in two years. Samsung postponed its 1.4nm-class node from 2027 to 2029 [E](#), conceding the roadmap race. Intel's 18A entered high-volume manufacturing in January 2026 (Panther Lake) with external foundry volume still exploratory — no share impact.

8. Risks

1. **Taiwan geographic concentration** [O](#) : the leading-edge base remains in Taiwan; cross-strait escalation is the canonical tail risk. August saw 125 PLA ADIZ incursions — less than half the August 2024/2025 tempo — and Taiwan proposed a record NT\$1T (~\$31B) 2027 defense budget [E](#). Chronic gray-zone pressure, no acute crisis — but it is the stock's core existential risk. Mitigants in progress (Arizona/Japan/Germany) currently *dilute* margins (company-stated [R](#)) and will take years to reach Taiwan cost structure.
2. **US trade policy — Section 232** [E](#) : Proclamation 11002 (Jan 14, 2026) imposed a narrowly scoped **25% tariff on specified advanced computing chips** (effective Jan 15, 2026), with broad carve-outs for US data centers, startups, R&D and consumer electronics. A broader "Phase 2" remains in active deliberation — Commerce's September "build in America or pay" framing signals escalation risk, not a settled outcome. Separately, a 15% polysilicon tariff with minimum import prices takes effect December 4, 2026. Do not model a settled broad-based tariff — scope and timing are unresolved [O](#).
3. **Export controls**: US restrictions on advanced AI chips to China persist; direct China revenue was 6% in Q2 2026 (down from 9% in Q2 2025) [R](#) — manageable directly, but second-order customer-demand effects (NVIDIA/AMD China exposure) matter [O](#).
4. **Customer concentration** [O](#) : Apple and NVIDIA are widely believed to be the two largest customers (top two ~36% per industry research [E](#)), but TSMC does not disclose splits — size single-customer risk qualitatively, not with invented precision.
5. **Capex intensity & FCF**: US\$60–64B capex in 2026 vs ~US\$36B TTM FCF — the dividend is safe (net cash; ~25% payout), but FCF conversion stays depressed until the build moderates [O](#).
6. **FX**: NT\$ appreciation compresses reported margins (cited as a drag in 2025) [R](#); Q3 2026 guide assumes NT\$32.0/US\$ [R](#) (Q2 averaged NT\$31.60).
7. **Cycle risk**: HPC is 66% of revenue [R](#) — AI-capex digestion or a smartphone downturn would hit utilization; inventory days are already rising on the N2 ramp [O](#).
8. **Execution**: 2nm yield/ramp cadence, Arizona Fab 2 timeline, and the H2 margin bridge (3–4pp N2 dilution + 2–3pp overseas dilution vs the 65–67% Q3 GM guide) are the near-term operational watch items [O](#).

9. Valuation

Reference: \$450.61 (25 Sep 2026 close — live dashboard quote via Finnhub). ADR = 5 ordinary shares [R](#) ; diluted shares 25,932M (Q2 2026) [R](#) → 5,186.4M ADR-equivalents [C](#) . 52-week high \$479 (~6% above current [C](#)); YTD +48.3%, 1-yr +64.8% [E](#) .

Multiple	Value	Basis
Market capitalization	~\$2.34T	450.61 × 5,186.4M C
Enterprise value	~\$2.26T	mkt cap – ~\$78.7B net cash C
TTM P/E	32.5×	\$450.61 / US\$13.86 TTM EPS/ADR C
FY2026E P/E	27.2×	\$450.61 / \$16.55 (Zacks) C / E
FY2027E P/E	~20.7×	\$450.61 / ~\$21.8 (consensus range \$21.7–21.9) C / E
EV / TTM EBITDA	22.4×	\$2,260B / US\$100.6B TTM EBITDA C
Price / TTM FCF	64.6×	\$2,337B / US\$36.2B TTM FCF (1.5% FCF yield) C
EV / FY2026E sales	13.5×	\$2,260B / \$167.1B (Zacks) C / E
EV / FY2027E sales	10.5×	\$2,260B / \$215.6B (Zacks) C / E
Dividend yield	0.84%	TTM ADR payouts \$3.7811 / \$450.61 C
PEG (FY2026E)	~0.9	27.2× / ~30% FY2027 EPS growth C

Consensus [E](#) (September 2026): **Buy** — Zacks Rank #1 (Strong Buy); average target **\$523.22** (MarketBeat, ~16% upside from \$450.61 [C](#)) to \$552.26 (DailyIQ, 45 analysts). FY2026E EPS \$16.55 (Zacks), FY2027E ~\$21.8 (MarketBeat \$21.72; Erste \$21.91, raised Sept 23). Q3 2026 consensus: revenue \$45.54B / EPS \$4.45 — squarely on the company guide. FY2026E revenue \$167.1B sits below the guide-implied ~\$171.4B — the revision watch item from Section 4.

Valuation judgment [O](#) : the multiple is full in absolute terms (32.5× trailing, 64.6× FCF) but the growth-adjusted picture is reasonable — ~30% forward EPS growth puts PEG near 0.9, and the P/E compresses to ~20.7× on FY2027E if delivered. The market is paying for certainty of AI-compute demand and 2nm pricing power, funded by a net-cash balance sheet. Downside protection is thin on multiple compression if AI capex pauses; upside requires the 2nm ramp and overseas execution to stay on track. Net cash is only ~3.4% of market cap — not a valuation backstop at this size.

Target derivation: \$545 ≈ 25× FY2027E consensus EPS of ~\$21.8 [C](#) / [E](#) — the same 25× framework as the prior report's \$530 (≈25× \$21.20); the \$15 raise is purely estimate-driven (consensus FY2027E moved \$21.20 → ~\$21.8). The multiple is a modest premium to today's ~20.7× FY2027E, justified by

2nm pricing power and the record 72.5% foundry share. The target sits between the MarketBeat consensus (\$523) and the DailyIQ average (\$552), modestly above Morningstar's \$534 fair value. **BUY.**

10. Catalysts & What to Watch

1. **Q3 2026 earnings** — **Thursday, October 15, 2026, 2:00 AM ET** R (TSMC IR calendar). Quiet period: October 5–14. Consensus: revenue \$45.54B / EPS \$4.45 E. The GM print vs 65–67% guide — through the N2 ramp dilution — is the single most important number.
2. **September monthly revenue** (expected ~Oct 9–10) — needs NT\$444.8–483.2B to land the Q3 guide C; August printed +53.3% y/y.
3. **2nm ramp metrics** — wafer-revenue mix (was 3% in Q2), yield commentary, N2P/A16 updates; Qualcomm's 2nm Snapdragon ramp as a demand read.
4. **The Q4 bridge** — whether management's "slightly more than 40%" guide (~\$50B Q4) survives the October call, and whether sell-side revenue estimates converge toward it.
5. **Capex deployment** — H2 2026 spend (~US\$33–37B implied C) and any update to the US\$60–64B budget; Arizona Fab 2 equipment-installation milestones.
6. **Dividend** — Q1 2026 NT\$7/share payable October 8, 2026 R; Q2 2026 dividend declaration expected with Q3 results (prior pattern).
7. **Policy** — Section 232 Phase 2 scope/timing; any Taiwan–US tariff-framework finalization; September 24 Xi–Trump meeting read-through (unconfirmed).
8. **Competition** — Samsung 2nm yield trajectory and Tesla AI5 ramp at Taylor; any further second-sourcing moves by major AI customers.

11. Portfolio Fit

Cam holds **24 shares (~\$10,815; 0.64% of the ~\$1.70M portfolio)** — a starter position in the portfolio's only pure-play semiconductor foundry exposure, and its principal AI-compute pick-and-shovel holding (complementing Apple on the device side and AVGO/Broadcom-adjacent exposure in the AI stack).

Recommendation for the book O: the 0.64% weight is light for the highest-quality compounder in the portfolio and the single best expression of AI infrastructure demand. **The standing add thesis (valid at or below \$460) is live at \$450.61** — the dashboard price gate agrees. Favor adding on any AI-capex wobble (multiple compression toward 25× trailing has historically been the entry window) rather than chasing strength into the October 15 print. Size any add against existing mega-cap tech concentration (AAPL 6.80%, AMZN 7.80%) to avoid doubling the same AI-demand factor. The next natural review point is the Q3 print.

12. Appendices

A. Key sources

- TSMC Q2 2026 earnings release & quarterly management report (Jul 16, 2026) — investor.tsmc.com
- TSMC Q2 2026 financial statements (Jul 16, 2026) — investor.tsmc.com
- TSMC 6-K: Q2 2026 results presentation (Jul 16, 2026) — via StockTitan / Quartr
- TSMC Q2 2026 earnings call transcript (Jul 16, 2026) — via MarketBeat
- TSMC Q1 2026 earnings release (Apr 16, 2026) — investor.tsmc.com
- TSMC Q3 2026 guidance page & earnings-conference calendar — investor.tsmc.com
- TSMC 2025 annual report & 20-F (filed Apr 16, 2026) — via StockTitan
- TSMC 6-K: Q1 2026 dividend (Sep 1, 2026) — via StockTitan
- TSMC August 2026 monthly revenue — company disclosure via TradingKey / MarketBeat (Sep 9–10, 2026)
- TrendForce Q2 2026 foundry rankings (Sep 9, 2026) — via Barchart / Motley Fool
- MarketBeat TSM consensus, targets & estimates (Sep 11–22, 2026) — marketbeat.com
- Zacks: TSM earnings & valuation coverage (Sep 18, 2026) — zacks.com
- Erste Group estimate revisions (reported Sep 23, 2026)
- CRS: Section 232 semiconductor tariff explainer (Proclamation 11002; Mar 23, 2026) — everycrsreport.com
- Troutman: polysilicon Section 232 tariffs (Dec 4, 2026 effective) — troutman.com
- ISW: China–Taiwan update (Sep 1, 2026) — understandingwar.org
- Reuters: Taiwan 2027 defense budget proposal (Sep 14, 2026)
- TechTimes: NVIDIA Rubin/TSMC 3nm (Sep 9, 2026); Samsung 2nm yields & OpenAI second-source (Sep 10, 2026); Tesla AI5 at Taylor (Jul 14 / Sep 2026)
- SEDaily: Samsung Texas fab chip output on Tesla orders (Sep 15, 2026)
- TradingKey: TSMC A16 mass-production timeline (Sep 2026)
- Zacks: TSMC A14 customer traction (Sep 23, 2026)
- HPCwire: Cadence–TSMC partnership expansion (Sep 24, 2026)
- TrendForce: iPhone 17 / A19 N3P analysis (Sep 10, 2025); Apple Event 2026 live coverage — Analytics Insight (Sep 9, 2026)
- Finainews / AIWeekly: hyperscaler 2026 capex tracking (Sep 2026)
- TipRanks / WiseSheets: TSM ADR dividend history
- Finnhub: TSM quote, returns & TTM P/E (Sep 25–26, 2026)

Not verified / omitted by design: Q2 2026 wafer shipments; exact dates of 52-week high/low (low inconsistently reported across screeners); Buy/Hold/Sell analyst distribution counts; reliable PEG methodology; buyback activity (none found — unverified negative); numerical CoWoS capacity (industry estimates only); customer-level revenue splits; wafer-price figures; finalized scope/timing of any Section 232 "Phase 2"; any new export-control rules in the last 60 days.

B. Glossary

- **ADR** — American Depositary Receipt; 1 TSM ADR = 5 TWSE ordinary shares.
- **CoWoS** — Chip-on-Wafer-on-Substrate, TSMC's advanced packaging technology for AI accelerators.
- **N2 / N3 / N5** — TSMC process-node families (2nm, 3nm, 5nm); N2P = performance-enhanced 2nm; A16/A14 = angstrom-class successors.

- **GM / OM** — gross margin / operating margin. **pp** — percentage points.
- **FCF** — free cash flow (company-defined: operating cash flow less capex, unless noted).
- **HPC / DCE** — high-performance computing / digital consumer electronics (revenue platforms).
- **Section 232** — US Trade Expansion Act provision used to impose tariffs on national-security grounds.

C. Disclosures

Report dated 26 September 2026 — an update to the 22 September 2026 report, which it supersedes. Reference price \$450.61 is the 25 September 2026 closing price from the CIO dashboard's live quote feed (Finnhub); reconcile against a live quote before trading. Figures labeled **R** are company-reported, **C** analyst-calculated, **E** consensus/industry estimates, **O** analyst opinion. This report is prepared for Cam as CIO/Portfolio Manager for investment decision-making; it is not a solicitation. Price targets are 12-month forward-looking estimates subject to market, geopolitical, and company-specific risks detailed in Section 8.

Prepared by Muse, Senior Financial Analyst, for Cam (CIO / Portfolio Manager) · 26 September 2026 · USD/ADR basis ·
Update to report dated 22 September 2026